

 Masterclass Day 15

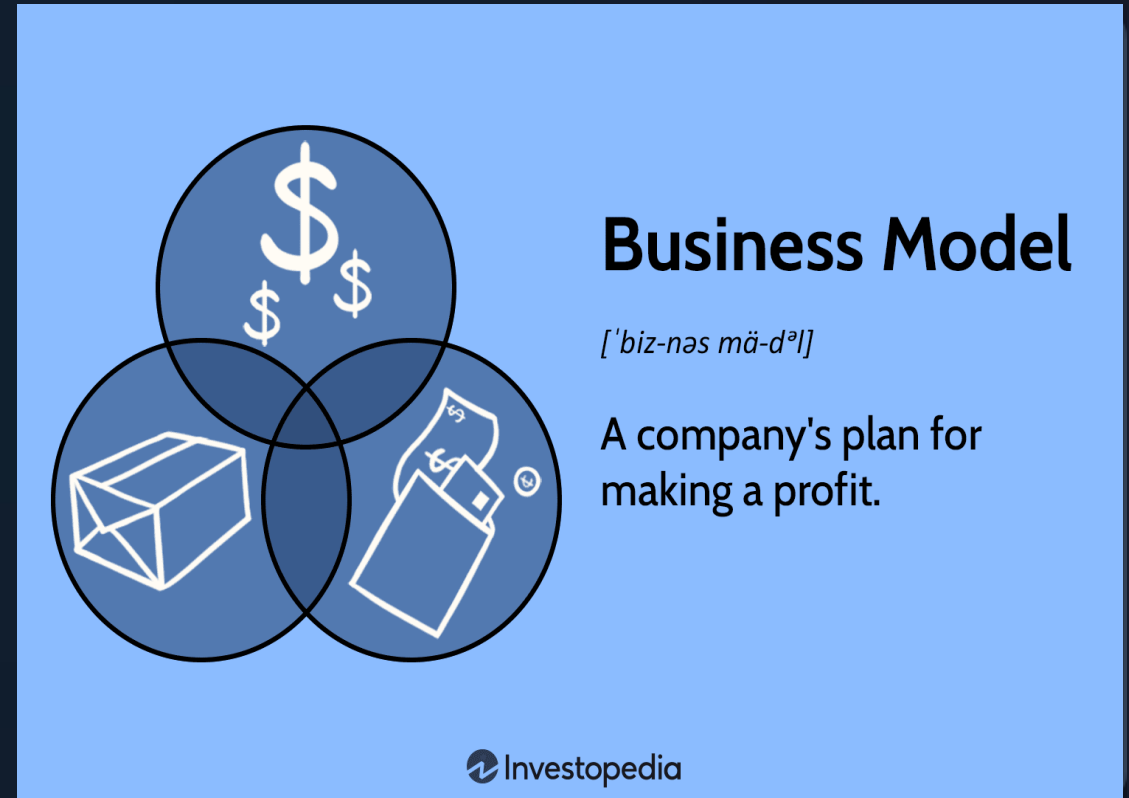
Mastering Company Analysis

Moving beyond the numbers: How to evaluate a company's core DNA, competitive moat, and strategic position.

The Blueprint: **Business Model**

Before investing a single rupee, you must be able to answer one simple question: **How does this company actually make money?**

- » **Revenue Streams:** Is it a B2B SaaS subscription, a direct retail product sale, or a high-margin advertising model?
- » **Pricing Power:** Can the business raise prices during inflation without losing customers to competitors?
- » **Unit Economics:** Does every individual transaction generate a healthy profit margin after accounting for acquisition costs?



The Castle Wall: **Competitive Advantage (Moat)**

What is an Economic Moat?

Popularized by Warren Buffett, a moat is a structural feature that allows a company to protect its long-term profits from hungry competitors.

Network Effects: The platform becomes more valuable the more users join (e.g., Visa, stock exchanges, social networks).

Brand & Switching Costs

Intangible Assets: Strong patents, regulatory licenses, or iconic brand loyalty that commands premium pricing power.

High Switching Costs: The pain, cost, or time required for a customer to switch to a rival software or service is simply too high.

The Playing Field:

Industry Analysis

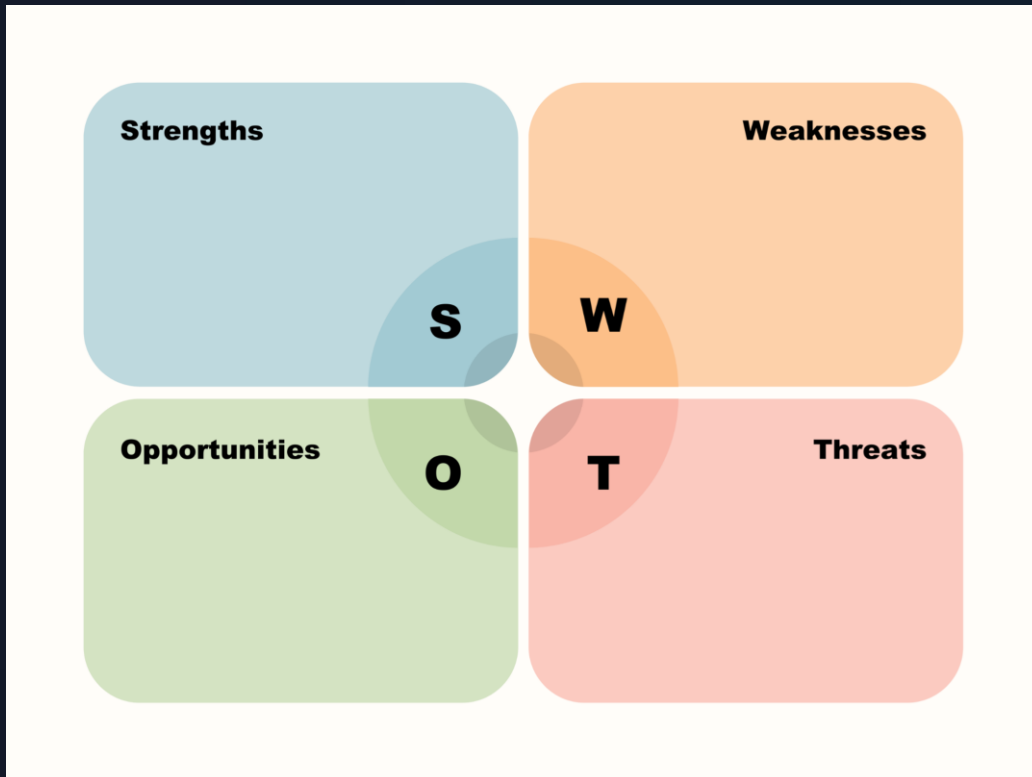
Even the greatest management team cannot succeed if they operate in a shrinking, sunset industry.

Porter's Five Forces: Analyze supplier power, buyer power, threat of new substitutes, rivalry among existing competitors, and barriers to entry.

Secular Tailwinds: Look for industries backed by massive structural growth trends—such as clean energy, digital transformation, or financial inclusion.



Strategic Matrix: **SWOT Analysis**



Internal vs. External Reality

The SWOT framework organizes a company's strategic position into four core quadrants:

- » **Strengths & Weaknesses:** Internal factors (management quality, cash reserves, operational efficiencies).
- » **Opportunities & Threats:** External market conditions (emerging consumer trends, regulatory changes, macroeconomic shocks).

A great investor looks for companies that exploit strengths to capture opportunities while mitigating external threats.

Great Job on Day 15!

Tomorrow: Day 16 - The Art of Value Investing.

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